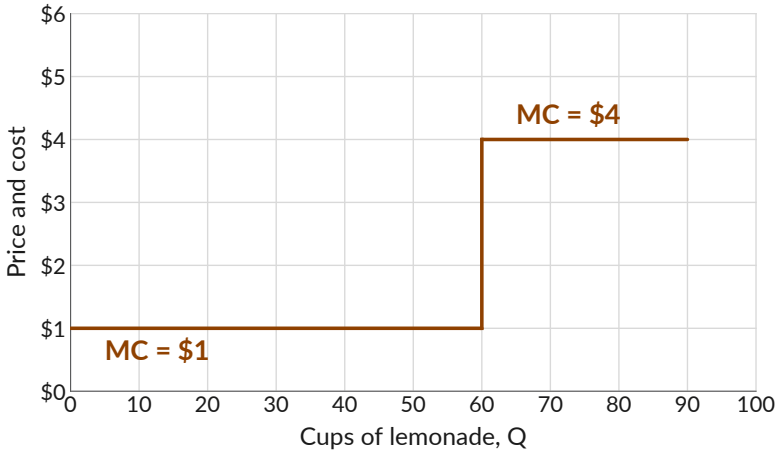
Worksheet: Taking the Price as Given

ECON 201

Lena's lemonade

Lena runs one of twenty lemonade stands at the county fair. All of them sell the same cup of lemonade and have the same costs, and the going price is $3 a cup. The graph shows Lena's marginal cost: $1 a cup for the first 60 cups, and $4 a cup after that, when she has to buy ice at the fair, up to 90 cups.



1. Draw the demand curve that Lena faces on the graph. What happens if she charges $3.50?

2. At $3, how much does the 30th cup add to her profit? The 70th cup? How many cups does she sell?

3. Fill in the second column: how many cups does Lena sell at each going price?

4. All twenty stands have Lena's costs. Fill in the next column: how many cups do the twenty stands sell in total at each price?

Going price, P	**Cups Lena sells**	**Cups all twenty stands sell**	**Cups fairgoers want to buy**
$0.50			2,200
$2			1,600
$3			1,200
$5			400

5. Which curve on the graph tells you how many cups Lena sells at any going price? What do we call it?

6. The last column shows how many cups fairgoers want to buy at each price. At which price does the market clear? How does it compare with the price Lena takes as given?